CONCLUSION

In summary, the investment approach articulated by Graham and Dodd, although focused on U.S. securities, turns out to be equally useful for investing in international markets. However, there are additional considerations that prudent investors must consider in international markets.

First, determining a business's intrinsic value is more difficult in many international markets than for U.S. businesses because of issues such as currency risks, uncertain regulatory regimes, and volatile local macroeconomic and political forces. In addition, minority investors may face additional risks because of potentially poor corporate governance. These risks, when coupled with limited scope for shareholder activism, not only significantly affect the future value of businesses, but they could also cause a security to trade at a significant discount to its intrinsic value for an indeterminate period. Consequently, investors require a larger margin of safety, via a deeper discount to intrinsic value, in international markets.

Investors investing outside their home markets should also raise the bar in considering management and business quality. In addition to assessing the outlook for the company's markets, investors need to invest the time and effort to thoroughly investigate management competence, motivations, and integrity. In seeking businesses with the potential to grow intrinsic value, the quality of a company may well be as important as its valuation, because quality businesses can preserve and grow their value during periods of macroeconomic volatility, which are more common in these markets. This growth potential provides added protection against an incorrect assessment of intrinsic value or a decrease in intrinsic value due to factors that may be beyond the control of a company's management.